

## IN THIS REPORT

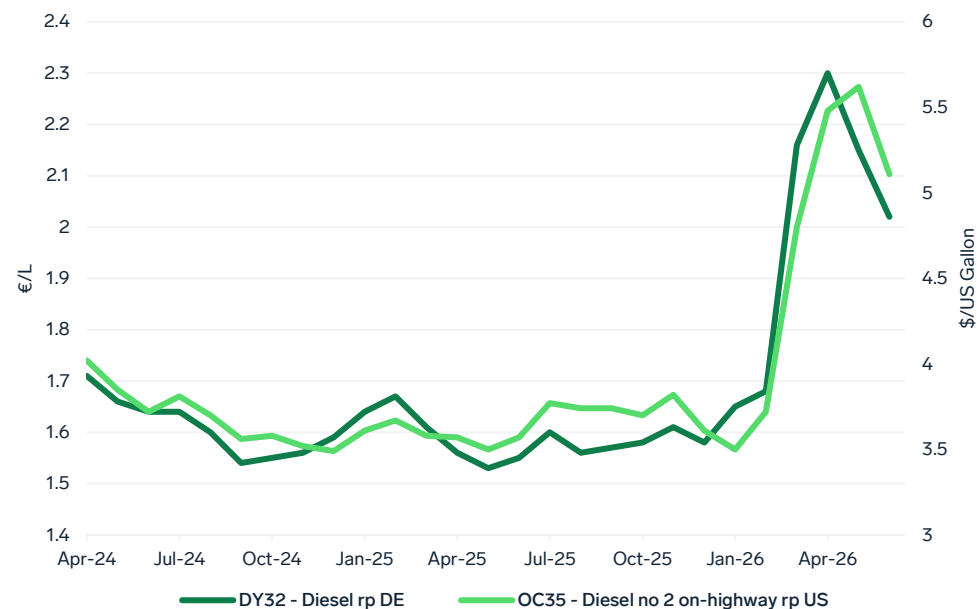
- 2 Energy** Prices largely fell throughout June, but escalating tensions in July have increased supply concerns.
- 5 Freight & Logistics** An early start to peak season has driven a surge in freight rates, while the ongoing Gulf turmoil raises uncertainty around fuel costs.
- 9 Labor** Wage increases reflect structural shifts. Labor costs are outpacing consumer price inflation across major markets, squeezing producer margins.

## Key takeaways

- The cost of goods sold in Q2 2026 was shaped by simultaneous cost increases across energy, logistics, and labor, the three principal input categories. This synchronous growth created structural pressure on margins across food and beverage manufacturers in developed markets.
- Energy prices generally fell throughout June**, largely driven by easing geopolitical tensions in the Middle East and retreating supply concerns following the signing of an initial peace treaty between the US and Iran. However, tensions again flared in July, resulting in a return of supply worry to the crude oil and refined products markets.
- Ocean freight prices have surged** in recent weeks as frontloading ahead of anticipated new US tariffs and carrier surcharges initiated an earlier-than-expected start to peak season. Meanwhile, tight capacity and driver shortages, as well as the elevated cost of diesel, continue to firm road freight prices in both the EU and the US.
- Legislative changes to minimum wage floors intensified labor cost pressure.** Notably, such increases directly affect food and beverage producers, where wage levels traditionally remain below market averages. Germany's statutory minimum wage increased 8.4% MOM in January 2026. The UK National Living Wage rose 4.1% MOM in April 2026. Minimum wages also rose in Belgium in April and the Netherlands in July. For food producers with workforces concentrated near the lower wage boundary, these represent cost pressure.
- If energy and transportation inflation components are excluded, it is worth noting that the **Consumer Price Index (CPI) is growing more slowly than wages**, which undoubtedly puts pressure on producers whose margins are narrowing, particularly in sectors where labor costs represent a high share of total costs.

Despite some corrections in Germany, diesel prices generally remain elevated in line with higher crude oil prices, supporting road freight rates.

### Diesel - Germany and US



Source: AMI; EIA

## Crude Oil

- Throughout June, crude oil prices fell on optimism surrounding a definitive end to the Middle East conflict, following the signing of a preliminary peace treaty by the US and Iran. The terms resulted in a cessation of missile and drone strikes and the reopening of the Strait of Hormuz, calming supply worries. However, tensions have again escalated, with US President Donald Trump stating the ceasefire is “over” and reinstating the naval blockade of the Strait. Meanwhile, Iran has effectively said the Strait is again closed.

## Diesel

- Diesel prices in Germany corrected downwards after recent and persistent price spikes due to the US-Iran War. The signing of an interim peace deal has further weakened sentiment. Escalating tensions throughout July, though, have again caused supply worries. In addition, the International Energy Agency (IEA) cautions that global diesel inventories remain significantly depleted following the conflict. Sources believe that meaningful relief for European and US buyers is likely contingent on the 2027 supply surplus that the agency projects will materialize as Hormuz throughput normalizes.

## Jet Fuel

- Jet fuel prices remain elevated due to the Middle East conflict, with the Middle East supplying around 20% of global seaborne jet fuel prior to the conflict. Easing tensions resulted in price stabilization throughout June. For much of July, though, a deterioration in the conflict has increased supply concerns. Sources noted that air freight rates are unlikely to follow this trend quickly, as passenger routes were reduced to cut losses, thereby reducing important hold space critical to shippers. As a result, dedicated freighter operators continue to pass fuel surcharges directly onto customers, according to market players.

## Bunker Fuel

- Prices eased markedly throughout June, and sources had suggested that the signing of a peace deal between the US and Iran would result in even lower prices, a similar trend in other fuel markets. The de facto closure of the Strait of Hormuz cut off the Middle Eastern crude and refined product flows that European refineries depend on as feedstock, while the loss of Fujairah as a major bunkering hub in the Middle East meant vessels were resupplied in European ports, adding unexpected demand pressure. However, recent developments and escalating tensions will add significant concern to the market, say sources.

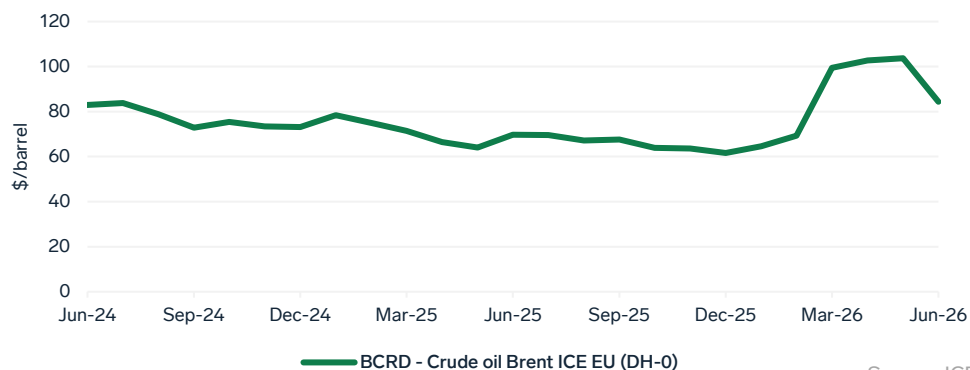
## Price dynamics

| INDEX                                  | EXPANA SERIES CODE | JUNE PRICE           | MOM    | YOY    |
|----------------------------------------|--------------------|----------------------|--------|--------|
| Brent crude oil ICE EU [DH-0]          | BCRD               | \$84.43/barrel       | -18.6% | +21.0% |
| Diesel average retail price DE         | DY32               | €2.02/L              | -6.0%  | +30.3% |
| Diesel no.2 on-highway retail price US | OC35               | \$5.11/US Gallon     | -9.1%  | +43.1% |
| Jet fuel fob Gulf US                   | OC19               | USc 306.94/US Gallon | -22.0% | +46.6% |
| Fuel oil MGO del Ghent BE              | FX64               | \$980.46/MT          | -19.4% | +44.5% |

Sources: ICE, EIA, Bunker Ex

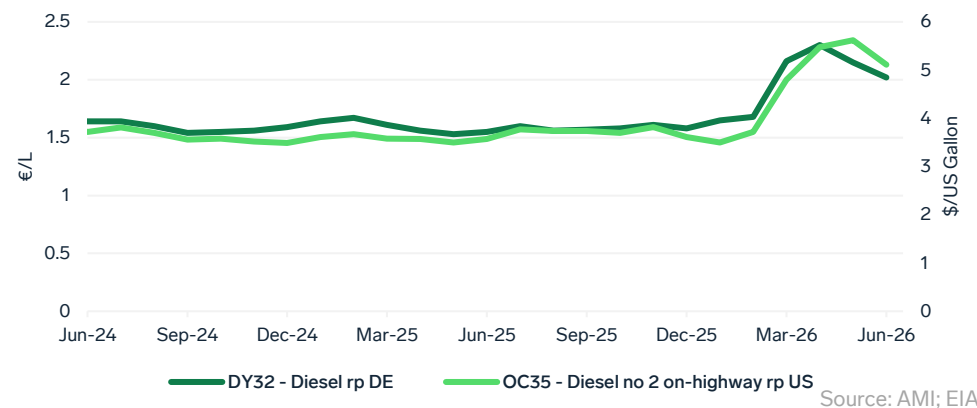
Prices fell after a preliminary treaty was signed between the US and Iran. Tensions heightened following the end of the ceasefire and the resumption of hostilities.

### Brent Crude Oil



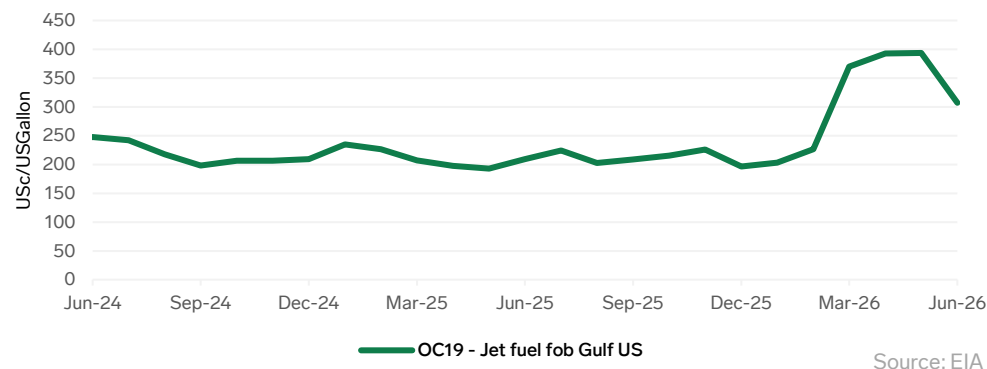
Despite some corrections in Germany, prices generally remain elevated in line with higher crude oil prices. Heightened prices continue to propel road freight rates.

### Diesel - Germany and US



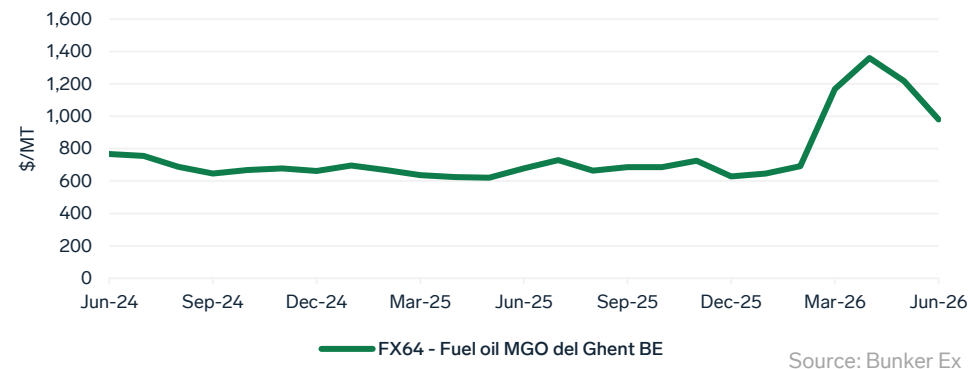
Market sources anticipate persistently elevated jet fuel prices due to a supply shortage, given the Strait of Hormuz's importance to the global flow of jet fuel.

### Jet fuel US



Supply increased modestly in Europe, and prices corrected after consecutive months of price spikes. The higher prices resulted in consistently firm shipping rates.

### Fuel oil - Belgium



### Spain

- Spain's electricity prices [1R01] on the day ahead market had remained well below the five-year average so far this year, but the average day ahead price for June rose month over month (MOM), supported by higher peninsular demand at 20.6 TWh, data from the Spanish network operator showed. During the summer months, the Spanish electro-intensive irrigation system offers some support to overall demand.
- Solar and hydropower generation also edged down MOM, weighing on renewable output. Overall renewable generation was, however, up compared to the same month in 2025, as higher installed capacity supported the year-over-year (YOY) increase. Solar capacity has risen by 10.2 GW from June 2025 to a total of 54.6 GW. The increase in renewables, especially solar, pushed hourly prices to negative figures for the first time in April 2024 in Spain and Portugal. Negative hourly prices have now become common in Iberia, with only four months recorded since then with no negative-price hours.

### France

- Lower wind generation, combined with lower nuclear output—although still higher than any other June since 2021, provisional data by the French RTE showed—likely offer support to prices, say players. High temperatures both increased cooling demand and weighed on nuclear output. France had to curtail its nuclear reactors well below their maximum capacity over June, owing to a heatwave with temperatures above 40 degrees Celsius (104 degrees Fahrenheit) and limited water access to cool the reactors, data from French utility EDF showed. River temperatures and low flows did not allow for reactor cooling, and as much of France's electricity generation comes from nuclear, it weighed on generation.
- Despite being the largest agricultural producer in the EU, France does not use the same type of irrigation as Spain, so its watering-related energy consumption is lower. This contributes to agriculture and fishing amounting to under 2% of the country's electricity use.

### Price dynamics

| INDEX                                     | JUNE AVE PRICE | MOM    | YOY    |
|-------------------------------------------|----------------|--------|--------|
| Electricity Base Daily Ave Germany [NR14] | €124.83/MWh    | +30.6% | +74.3% |
| Electricity Base Spain [1R01]             | €69.59/MWh     | +28.3% | -4.5%  |
| Electricity Base Day Ahead UK [NR09]      | €107.23/MWh    | +3.2%  | +50.0% |

Sources: Iberian Energy Derivatives Exchange, Marex Spectron

### Germany

- Heatwaves supported demand in Germany in June, and prices [NR14] rose MOM and YOY. Germany's large dairy industry tends to use high levels of power during the drying process; however, some of it will be compensated for by low levels of irrigated land (under 5%), compared to other European countries. This could change in the future; spring 2026 was mostly dry, and spring 2025 was the driest since 1931, data from the Federal Ministry of Agriculture, Food and Regional Identity showed.

### United Kingdom

- Overall wind output rose by 2.3% in June in Great Britain, accounting for around 27% of total generation, lower by four percentage points compared to the same month the previous year, according to data from the UK National Energy System Operator (NESO). It was followed by gas-fired power at 26.2%, also 3.6% up from May. Demand increased on the year by 1 TWh to 22 TWh, but it was flat in the month, NESO data shows.

Logistical disruption caused by the Middle East conflict has largely been limited to the Gulf region. Within the broader shipping market, the main effect has been on price, with rates elevated. Throughout May and June, prices increased significantly, primarily driven by an early start to peak season.

### Ocean

- The Global Shipping 40-foot Container Composite Index increased by 2% week over week (WOW) in the second week of July to \$4,639/unit, driven by an earlier-than-expected start to the peak season and front-loading due to the anticipated imposition of new import tariffs by the US administration and peak-season surcharges by carriers.
- Shanghai-Rotterdam spot rates increased by 5% WOW, owing to tight capacity, according to market reports. Carriers have reportedly announced rate increases, in effect from mid-July.
- The Gulf conflict has disrupted export flows for several agri-food categories, with fruit and vegetable producers reporting to Expana a loss of access to the region, and concerns over increasing shipping costs.
- Ocean freight dominated cashew market conversation in late June. Costs on the Ho Chi Minh–Rotterdam route reached \$3,000–3,500 per 20-ft container in the week ending June 30—a steep MOM jump. Market participants cited shipping delays and limited vessel availability as persistent constraints. "It's hard to find space on ships to the EU; it sells out fast and prices are really high," a Vietnamese seller said.
- Similarly, Egyptian producers have noted that the Gulf turmoil has contributed to firming prices in the IQF vegetable market owing to shipping delays and supply chain challenges.
- Although a tentative peace plan is in place between the US and Iran, the situation remains highly volatile and uncertain. Sources had suggested that reductions in bunker fuel costs are possible if the agreement holds, but a recent escalation in tensions has cast significant doubt over the status of peace deal.
- However, sources note that peak-season demand is the primary factor driving prices higher and suggest that a near-term decrease in freight rates is unlikely. Market players also state that a return to normal oil flows will take many months, adding that carriers will remain wary of a resumption of hostilities for some time.

### Indices dynamics

| MODE         | INDEX                                | EXPANA SERIES CODE | LAST AVAILABLE DATE | MOM   | YOY   |
|--------------|--------------------------------------|--------------------|---------------------|-------|-------|
| <u>Ocean</u> | Shipping 40ft global composite index | ZB99               | July 2026           | +31%  | +74%  |
|              | Shanghai to Rotterdam                | ZQ34               | July 2026           | +31%  | +46%  |
|              | Rotterdam to Shanghai                | ZB40               | June 2026           | -3.4% | +6.9% |
|              | New York to Rotterdam                | ZZ04               | July 2026           | +0.7% | +18%  |
| <u>Air</u>   | Air freight Baltic index             | BE09               | July 2026           | -4.8% | +28%  |
| <u>Road</u>  | Road freight index Europe            | GWAD               | May 2026            | +1.9% | +11%  |

Source: Drewry, Baltic Exchange, Transport Market Monitor

### Air

- Air freight rates jumped significantly in March following the start of the military action in Iran. The ensuing regional turmoil led to widespread airspace closures and flight cancellations throughout the Gulf, as well as a surge in jet fuel prices. Jet fuel prices have since declined from recent highs, and capacity constraints are reportedly easing, but air freight rates remain elevated.

### Road

- Although participants note soft demand, market reports suggest that spot availability is limited, with driver shortages a persistent issue. An increase in toll rates, as well as higher fuel costs, continues to strengthen prices. Several new tolls took effect on July 1. Sources suggest that elevated input costs are the key challenge for the sector in the short term.

North American ocean freight remains in a high-cost, high-volatility environment heading into the second half of 2026. Trans-Pacific demand has strengthened unexpectedly, driven by tariff concerns and frontloading ahead of potential supplier price increases.

### Ocean

- Capacity is tight, and carriers are using surcharges to defend pricing. Peak-season surcharges were implemented in June, with additional increases under discussion, while tighter vessel space and reduced availability of lower-cost options have made booking conditions more challenging for importers.
- More capacity is planned, but near-term conditions remain tight. Vessel capacity is expected to rise in July as several carriers expand their fleets, though market participants say the summer is likely to remain very busy, and the capacity injection may not immediately ease space constraints, as shippers continue to pull freight forward and carriers prioritize higher-yield cargo.

### Road

- US trucking conditions are tightening as summer freight builds. Demand is strengthening, sources say, and the market is becoming more capacity-sensitive, with seasonal shipping patterns, enforcement activity, and regulatory scrutiny reducing flexibility across truckload networks.
- Refrigerated trucking remains especially firm for food and agribusiness shippers. DAT-reported reefer rates continue to run well above last year, while industry sources described stronger pricing and tighter truck availability on produce-heavy lanes, particularly where harvest activity and long-distance moves are concentrated.
- Diesel volatility linked to Middle East disruption and increased trucking costs is also being influenced by broader fuel-related expenses, equipment operating costs, and the added burden of temperature-controlled moves.
- Shippers expect elevated trucking costs in delivered pricing to continue. Source sentiment indicates that truck freight remains a significant cost variable across agricultural supply chains, especially when layered with refrigerated storage, cross-country moves, and other logistics expenses associated with moving perishable products.
- **Regional trucking costs are facing added pressure in key agricultural hubs, especially Texas and California.** Source sentiment indicates labor-related disruptions are contributing to higher transportation costs in these markets.

### Indices dynamics

| MODE  | INDEX                                  | EXPANA SERIES CODE | LAST AVAILABLE DATE | MOM    | YOY   |
|-------|----------------------------------------|--------------------|---------------------|--------|-------|
| Ocean | Shipping 40ft global composite index   | ZB99               | July 2026           | +31%   | +74%  |
|       | LA to Shanghai                         | JD45               | June 2026           | +4%    | +29%  |
|       | Shanghai to LA                         | ZQ36               | July 2026           | +38%   | +121% |
|       | Shanghai to New York                   | QZ55               | June 2026           | +43.5% | -12%  |
| Road  | Truckload linehaul index North America | XI08               | May 2026            | +0.4%  | +6.9% |

Source: Drewry, Cass Information Systems

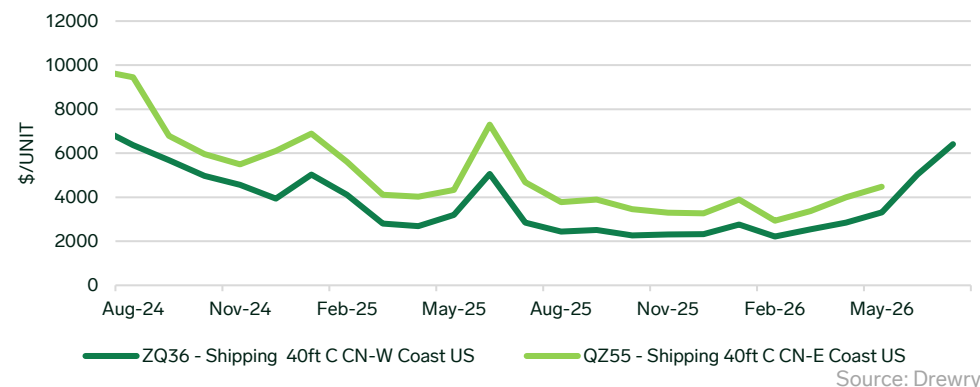
Container shipping rates increased throughout May and June owing to an early start to peak season.

### Shipping 40ft composite index



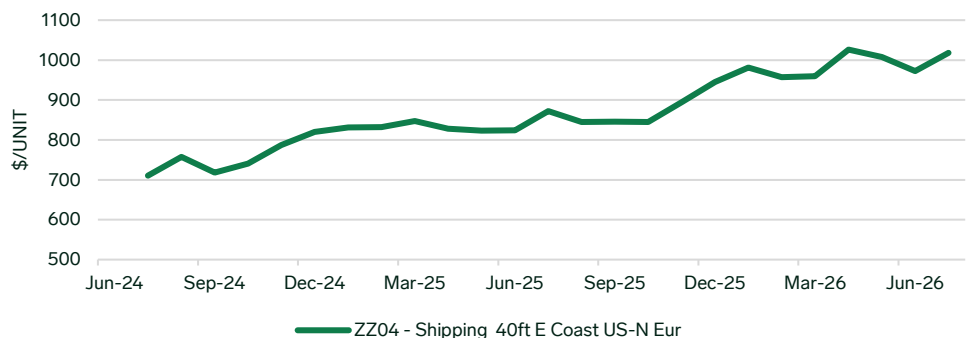
Trans-Pacific demand has strengthened unexpectedly, driven by tariff concerns and frontloading.

### Shanghai to US East & West Coasts



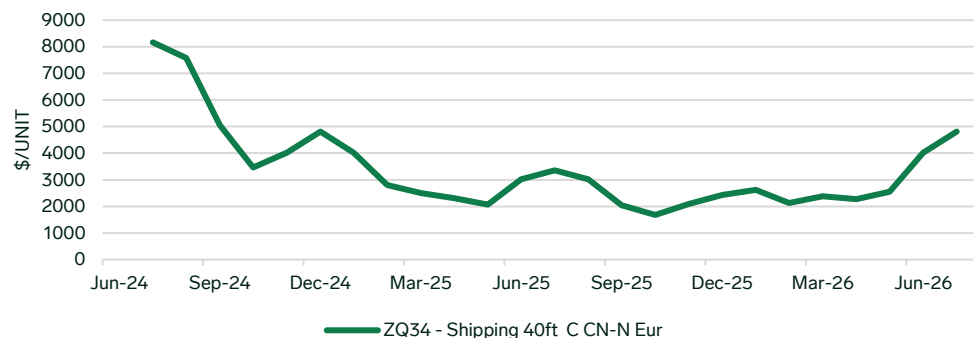
Peak-season demand is the primary factor driving prices higher, and market players suggest that a near-term decrease in freight rates is unlikely.

### US East Coast to Northern Europe



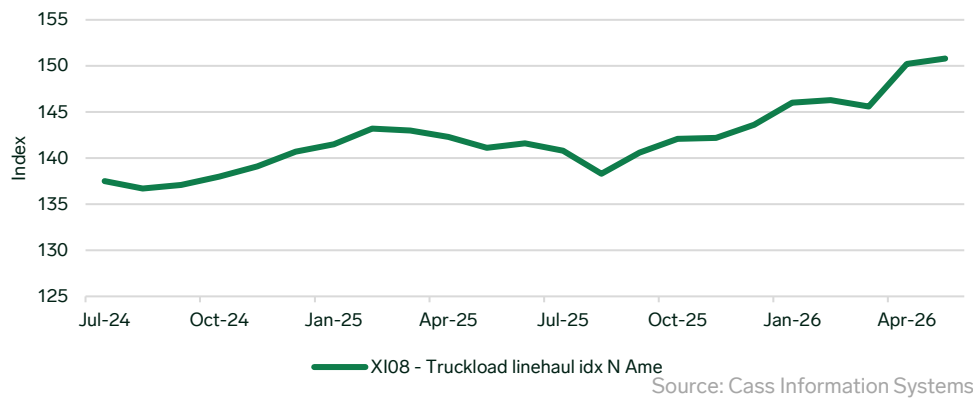
Capacity is tight on Asia-Europe routes and carriers have announced rate increases.

### Shanghai to Rotterdam



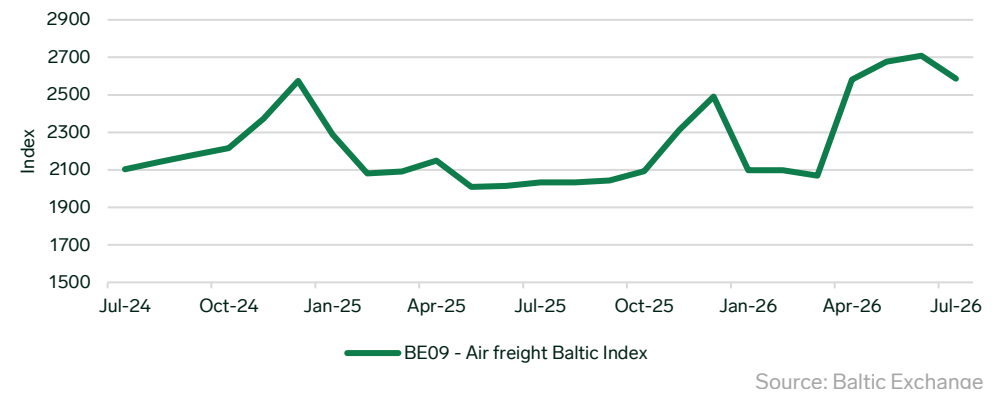
Demand is strengthening, and the market is becoming more capacity-sensitive, according to sources.

### Truckload linehaul index North America



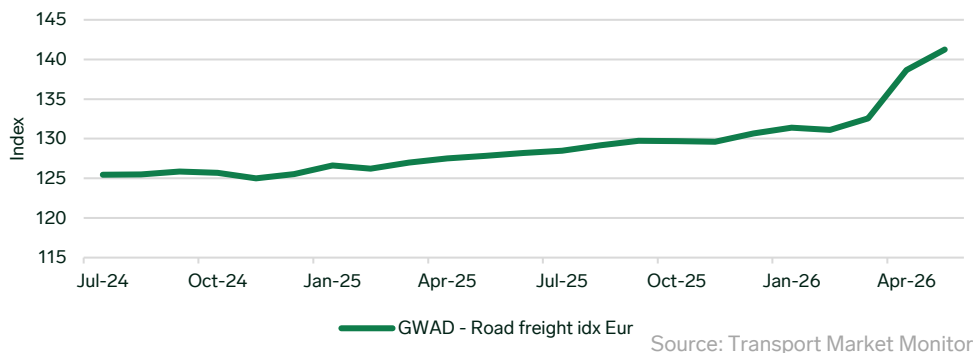
Air freight rates spiked in March and remain elevated, as the Gulf conflict drove a surge in the cost of jet fuel.

### Air freight Baltic Index



Driver shortages, an increase in toll rates and higher fuel costs continue to firm up road freight prices.

### Road freight index Europe





## North America

- In May 2026, labor costs in US food production YOY grew more slowly than in manufacturing overall, with the MOM figure even declining by 0.4% on a seasonally adjusted basis. Unemployment was stable MOM, as labor supply was sufficient to meet new openings in the market. **Accelerated hiring placed additional pressure on the restaurant sector.** Labor costs growth in May (4.0% YOY in manufacturing) was driven by contract indexation and industry agreements rather than worker scarcity. Notably, in April, labor cost growth slightly outpaced consumer prices (CPI at 3.8% YOY). However, in May, rising fuel prices drove inflation high enough to overtake labor cost growth.
- Restaurants and food production compete for similar workforce segments, including equipment operators, line staff, and drivers. Accelerated hiring in the away-from-home dining sector creates additional upward pressure on wages precisely where food producers have the highest concentration of labor.

## Europe

- Labor costs in the EU manufacturing sector rose 3.3% YOY in Q1 2026, marking the slowest growth in two years. However, a 9.6% quarter-over-quarter (QOQ) decline was noted (not seasonally adjusted).
- Labor costs in the EU food sector in absolute terms lagged manufacturing by 39%. This preserved structural cost advantages, though these remain vulnerable to minimum-wage floor increases.
- **Germany's minimum wage rose 8.4% MOM from January 2026. The UK's National Living Wage increased 4.1% from April 1, 2026.** Minimum wages also rose in Belgium in April, and an increase took effect in the Netherlands on July 1. For food producers with workforces concentrated near the lower wage boundary, these represent direct cost shocks. Wage growth carries a structural rather than cyclical character and is legislatively mandated across all key markets.
- **The core challenge for the food industry is that in several major markets labor costs are rising faster than consumer prices.** For example, CPI reached 2.8% YOY in April, whereas labor costs in food manufacturing rose to 6% YOY. Producers cannot offset expenses through ex-factory price increases without risking volume losses.

## Indices dynamics

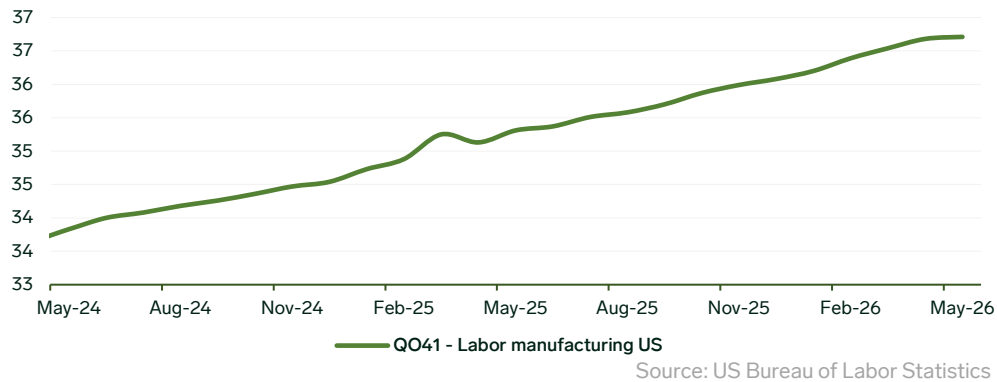
| COUNTRY /REGION | INDEX                                | EXPANA SERIES CODE | LAST AVAILABLE DATE | MOM   | YOY   |
|-----------------|--------------------------------------|--------------------|---------------------|-------|-------|
| <u>US</u>       | Labor manufacturing                  | QO41               | May 2026            | +0.1% | +4.0% |
|                 | Labor food manufacturing             | QO59               | May 2026            | -0.4% | +3.0% |
|                 | Labor transportation and warehousing | QO51               | May 2026            | +0.3% | +3.5% |
|                 | Unemployment rate                    | OF09               | May 2026            | 0%    | +2.4% |
| <u>Canada</u>   | Labor industry*                      | XV06               | April 2026          | +3.0% | +5.6% |
|                 | Labor food manufacturing *           | XV87               | April 2026          | +3.9% | +2.8% |
| <u>EU</u>       |                                      |                    |                     | QOQ   | YOY   |
|                 | Labor manufacturing*                 | UQ27               | Q1 2026             | -9.6% | +3.3% |
|                 | Labor accomm/food manufacturing*     | UQ31               | Q1 2026             | -6.9% | +2.4% |
|                 |                                      |                    |                     | MOM   | YOY   |
| <u>UK</u>       | Unemployment rate                    | QG24               | May 2026            | 0%    | +1.7% |
|                 | Labor food manufacturing*            | 2D50               | April 2026          | +2.5% | +6.0% |
|                 | Unemployment level                   | UE62               | March 2026          | -3.4% | +7.9% |
| <u>France</u>   | Unemployment rate                    | UE25               | May 2026            | 0%    | +2.7% |
| <u>Germany</u>  | Unemployment rate                    | UE24               | May 2026            | 0%    | +7.9% |

Source: US Bureau of Labor Statistics, Trading Economics, Eurostat, The Office for National Statistics

\*not seasonally adjusted

In May, labor costs in the manufacturing sector rose by 4% YOY, showing a slowdown in growth following a 4.4% increase in April.

### Labor manufacturing US - \$/hour



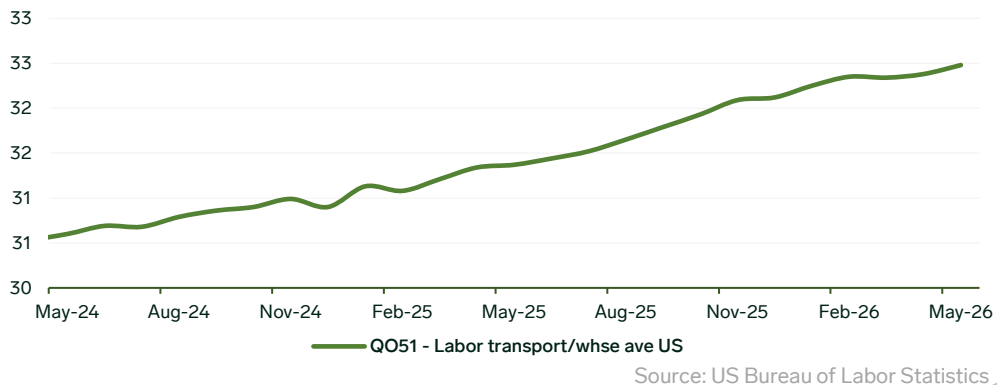
Labor costs in the food production sector rose 3% YOY in May, below overall manufacturing growth, and fell by 0.4% MOM.

### Labor food manufacturing US - \$/hour



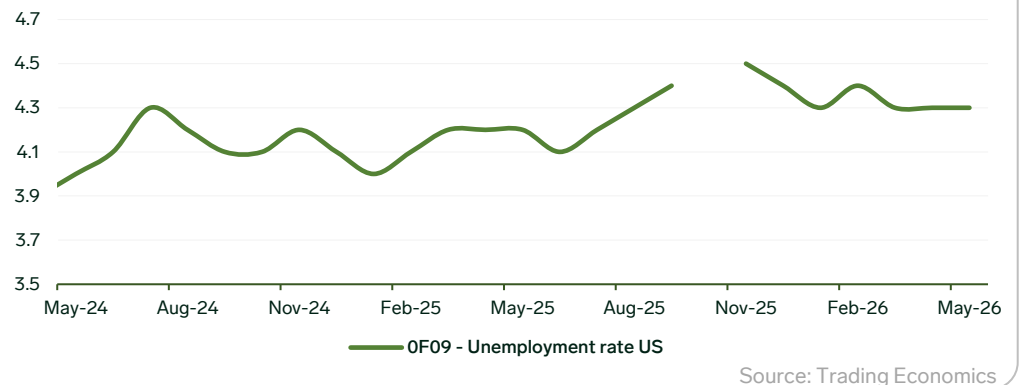
Labor costs in the logistics sector have fluctuated minimally since February 2026, but showed 0.3% MOM and 3.5% YOY growth in May.

### Labor transportation and warehousing US - \$/hour



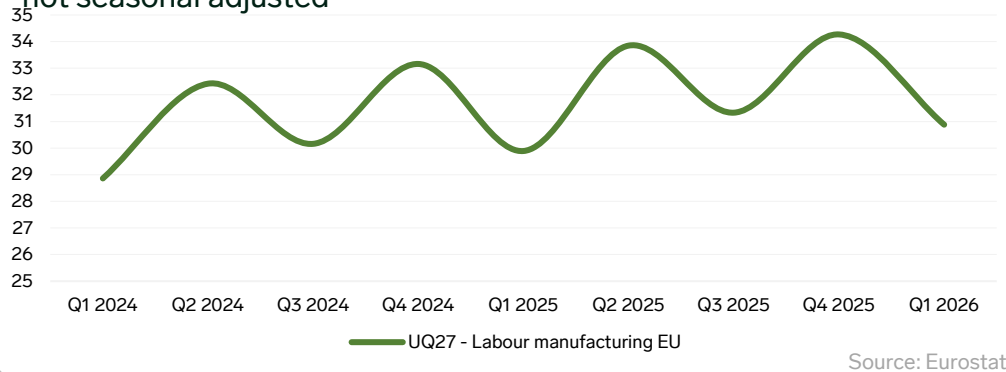
The unemployment rate in the US has fluctuated only slightly since the beginning of the year and remains lower than it was at the end of 2025.

### Unemployment rate US - %



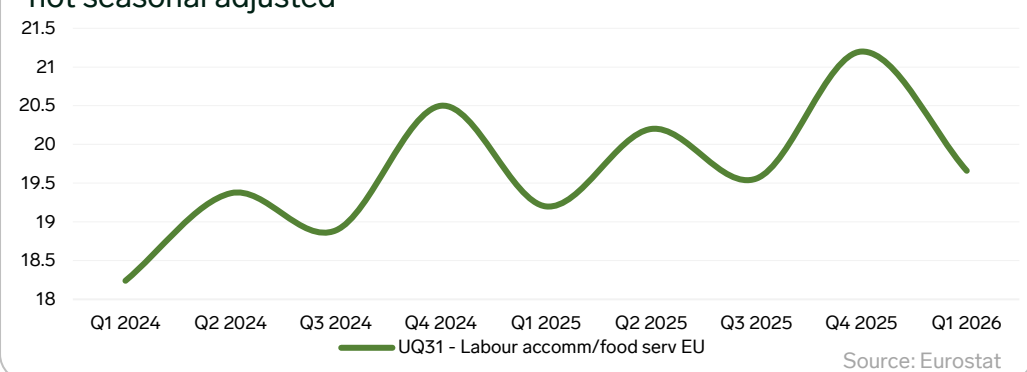
Labor costs in the EU manufacturing sector rose by 3.3% YOY in Q1 2026, but the growth rate was the slowest in two years.

**Labor manufacturing EU - €/hour**  
not seasonal adjusted



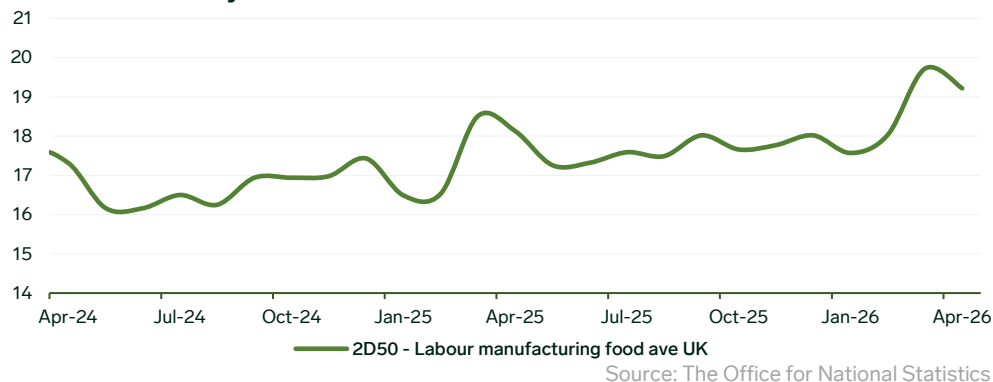
Labor costs in the accommodation and food services sector significantly lag manufacturing in absolute terms but show faster growth rates.

**Labor accommodation and food services EU - €/hour**  
not seasonal adjusted



Labor costs in the UK rose seasonally in March 2026. Meanwhile, YOY growth slowed to 5.2% against 9.1% in February.

**Labor food manufacturing UK - GBP/hour**  
not seasonal adjusted



The unemployment rate in the EU has fluctuated since the beginning of 2025 within a narrow range of around 6%.

**Unemployment rate EU - %  
seasonal adjusted**



Source: Eurostat

The decline in unemployment in March was driven by seasonal growth in temporary workers. Meanwhile, the indicator remains at a 10-year high.

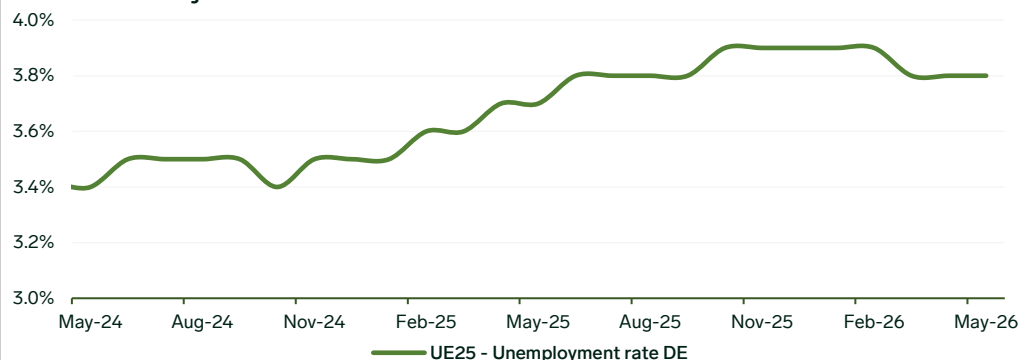
**Unemployment level UK - millions of units  
seasonal adjusted**



Source: The Office for National Statistics

The unemployment rate in Germany declined to 3.8% in March 2026, though it remained elevated compared with peaks from the previous five years.

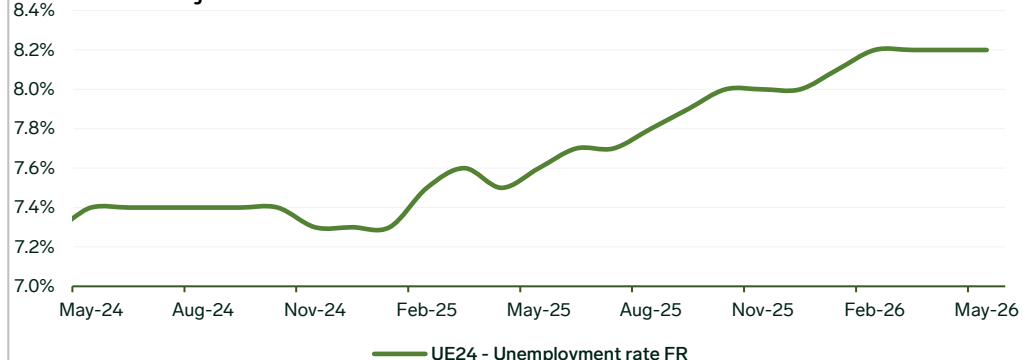
**Unemployment rate Germany - %  
seasonal adjusted**



Source: The Office for National Statistics

The unemployment rate in France has been rising since the beginning of 2025, though has been stable since February 2026. YOY growth reached 7.3% in May.

**Unemployment rate France - %  
seasonal adjusted**



Source: The Office for National Statistics

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Date of next publication: August 17



## Market Sentiment Definitions:

**Firm** — Demand exceeds supply, prices moving higher.

**Steady** — Supplies and demand generally in good balance—prices unchanged.

**Weak** — Supplies plentiful for demand and prices moving lower.

## Methodology, Feedback & Forward-Looking Statements:

Expana is committed to ensuring all published Expana Benchmark Prices are representative of market value, and in line with Expana's transparency principles, we encourage industry participants to reach out to the PRA Team. Any feedback and comments related to this document and the prices contained within are welcomed and should be directed to [PRA@expanamarkets.com](mailto:PRA@expanamarkets.com).

For details on the methodology used to assess the Expana Benchmark Prices, visit this [link](#).

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